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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 31.10.2018

PRESENT: 1. Hon'ble Member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

CP/CA No.	Purpose	Sec	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) No.19/BB/2018	For pronouncement of order	Sec 230-232	M/s Meadows Consulting Services Pvt Ltd	SPJ Legal		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s : SAJI. P. JOHN
SPJ Legal Advocate & petitioner
9845209798

RESPONDENT/s :

ORDER

Heard Shri Saji P.John, learned counsel for the Petitioner. CP disposed of by separate order.

Member(T)

Member (J)

Prema Murray – Steno

IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 19/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 31st October 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

MEADOWS CONSULTING SERVICES PRIVATE LIMITED

AND

PRAZIM TRADING AND INVESTMENT COMPANY PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Meadows Consulting Services Private Limited
'Premji Invest', No.574,
next to WIPRO Corporate Office,
Doddakannelli, Sarjapur Road,
Bengaluru-560035 - **Petitioner No.1/Transferor Company**

Prazim Trading and Investment Company Private Limited
Doddakannelli, Sarjapur Road,
Sarjapur, Bengaluru-560008 - **Petitioner No.2/Transferee Company**

Parties Present : 1) Mr. Saji P. John
Advocate for the Petitioner Company

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 03.04.2018, 28.05.2018, 06.07.2018, 23.07.2018, 09.08.2018

ORDER

A. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of

Amalgamation whereby Meadows Consulting Services Private Limited (Petitioner No.1/Transferor Company) being merged with Prazim Trading and Investment Company Private Limited (Petitioner No.2/Transferee Company) so as to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

B. The averments made in the Company Petitions are briefly described hereunder:-

1. The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Meadows Consulting Services Private Limited (Petitioner No.1/Transferor Company) with Prazim Trading and Investment Company Private Limited (Petitioner No.2/Transferee Company).The Scheme of Amalgamation is shown as **Annexure -A**.

2. The Petitioner No.1/Transferor Company was incorporated on 16th January, 2015 under the name and style "Meadows Consulting Services Private Limited" with Registrar of Companies, Gujarat. Subsequently on 8th February, 2017 the registered office of the company was shifted to the State of Karnataka. The Registered office of the Petitioner Company no.1/Transferor Company is situated at 'Premji Invest', No.574, next to WIPRO Corporate Office, Doddakannelli, Sarjapur Road, Bengaluru-560035 and obtained Certificate of Incorporation vide bearing **CIN No.U74140KA2015PTC100324**.

3. The Petitioner No.1/Transferor Company's Objects as set out in its Memorandum of Association is "to carry on the business of management consultants, advisors, experts, arbitrators, conciliators, liquidators and solicitors, in India or abroad, for all type of industries, government undertakings/ authorities, public private partnership projects, companies, firms, individuals, person engaged in franchise business, bodies corporate, traditional handicraft artisans, craftsmen engaged in handloom and textile sector, other companies engaged in the business of e-commerce/market place and in all such as legal, commercial, industrial, manufacturing, production, quality control and efficiency experts, engineering marketing, advertising, publicity, promotion, public welfare, community development, computer applications, cluster development, technical know-how, underwriting, secretarial services, financial management, staff

and management recruitment, training and placements, technical analysis of data, electronic data processing, and other economic, mathematical, statistical, scientific and other modern management services."

4. The Copy of the Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-B.**

5. Authorized share capital of the Petitioner No.1/Transferor Company as stated in the petition is Rs.9,00,00,000/- divided in to 90,00,000 equity shares of Rs. 10/- each. The issued subscribed and paid up share capital of Rs. 8,01,00,000/- divided in to 80,10,000 equity shares of Rs.10/- each fully paid up.

6. The Copy of Audited Financials of the Petitioner No.1/ Transferor company as on 31st March, 2017 and is shown in **Annexure-C.**

7. The Petitioner No.2/Transferee Company was incorporated on 13th November, 1981 under the name and style as "Prazim Trading and investment Company Private Limited" with Registrar of Companies, Maharashtra. Subsequently the registered office of the company was shifted to the State of Karnataka bearing CIN U65993KA1981PTC024196. The Registered office of the Petitioner No.2/Transferee Company is situated at Doddakanneli, Sarjapur Road, Bengaluru-560035.

8. The Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:
   i. to carry on the business as general merchants and traders in goods and commodities, on ready or forward basis, commission agents, buying and selling agents, brokers, importers, exporters and to act as manufactures representatives.
9. The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferee Company is shown in **Annexure-D.**
10. Authorized share capital of the Transferee Company as stated in the petition is as follows:

Authorized Capital	**Amount in INR**
3,02,000 Equity Shares of Rs.100/- each	3,02,00,000/-
4,000-10% Redeemable Preference Shares of Rs.100/- each	4,00,000/-
44,000-18% Redeemable Cumulative Preference Shares of Rs.100/- each.	44,00,000/-
1,00,000-0.1% Convertible Cumulative Preference Shares of Rs.100/- each	1,00,00,000/-
1,00,000-8% Redeemable Cumulative Preference Shares of Rs.100/- each	1,00,00,000/-
Total	**5,50,00,000/-**

Issued, Subscribed and Paid-up Capital	**Amount in INR**
7,771 Equity Shares of Rs.100/- each fully paid-up	7,77,100/-
3,530-0.1% Convertible Cumulative Preference Shares of Rs.100/- each	3,53,000/-
4,561-8% Redeemable Cumulative Preference Shares of Rs.100/- each	4,56,100/-
Total	**15,86,200/-**

The Copy of Audited Financials of the Transferee Company as on 31st March, 2017 and as shown in **Annexure E.**

11. The Board of Directors of the Petitioner No.1/Transferor Company and Petitioner No.2/Transferee Company have approved and adopted the Scheme of Amalgamation

at its meeting held on 8th January, 2018 and 10th January, 2018 respectively. The copies of Board Resolutions are shown in **ANNEXURE – F & G.**

12. That the Petitioner No.1/Transferor & Petitioner No.2/Transferee Companies had filed Company Application No.(CAA) 6/BB/2018 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company No.1 and Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company No.2. This Tribunal vide separate order dated 5th March, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders, Secured Creditors & Unsecured Creditors of the Petitioner Company No.1 and Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company No.2. The Copy of the Order of this Tribunal in CA(CAA) No6/BB/2018 is shown as **Annexure- J.**

C. This Tribunal vide order dated 3rd April, 2018 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies and Income Tax Authorities, Official Liquidator and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper and stating the next date of hearing was on 28th May, 2018.

D. In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 25th May, 2018** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper.

E. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 19th July, 2018 making some observations:

i) That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 877/ RD/(SER)/2017/2157 dated 6.7.2018 stating therein

that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him, and report of ROC, Karnataka vide letter No.ROCB/Legal/C.P.No.CAA/19/BB/2018 dated 29.6.2018 and the Petitioner company's letter received on 14.5.2018 and it is observed that:

a. As per Section 232(6) of Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Hence, Clause 3 of the Scheme regarding "Effective date" needs modification.

b. In Clause 11.1 of the scheme the petitioner transferee company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the transferor company which is not acceptable in view of the provisions of Section 232(3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor companies.

F. The Director of the Petitioner Companies has filed Affidavit dated 21st July, 2018 in furnishing response to the same, which are as follows:

a) For the Observation no.(a): It is submitted that, the scheme is in line with the provisions of Section 232(6) of the Companies Act, 2013. Further Clause 3 of the Scheme provides that the scheme shall be operative from the Appointed Date.

b) For the Observation no.(b): It is submitted that the Transferee Company undertakes to comply with the provision of section 232 (3)(i) of the Companies Act, 2013 and any differential fee and stamp duty arising on account of consolidation of the share capital of the Transferor Company after setting off the fee already paid by the Transferor Company shall be paid by the Transferee Company.

G. Reserve Bank of India has filed letter no:DNBS.BG.No.1395/8.4.015/2017-18 dated 3rd May, 2018 making some observations:

(i) "In this connection, M/s. Prazim Trading & Investment Private Limited (Transferee Company) is an NBFC registered with RBI, Bengaluru. After

examining the matter from the limited purview of regulatory oversight, it is stated that we have no objection to the proposed amalgamation.

H. On the prayer made by the Official Liquidator in OLR no.57/18 in CP (CAA) 19/BB/2017, vide order dated 28.5.2018 M/s. SBMY & Co, Chartered Accountants was appointed by this Tribunal to scrutinise the Books of Accounts and records of Petitioner/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. SBMY & Co, Chartered Accountants submitted the report.

I. Pursuant to the same, the Official Liquidator has filed a Report dated 25th June, 2018 in OLR.No.81/18 stating that M/s. SBMY & Co, Chartered Accountants has submitted Report dated 19.6.2018 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

J. The Counsel for the Petitioner Companies have filed copy of Accounting Treatment Certificate **dated 26th February, 2018** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment proposed in the scheme is in conformity with Accounting Standard as prescribed under section 133 of the Companies Act, 2013 r/w rule 7 of the Company (Accounts) Rules, 2014. The Auditors Certificate on Accounting Treatment is shown as **Annexure-K**.

K. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

(a) While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

(b) The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

(c) All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

(d) The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

(e) All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

(f) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in

accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

(g) The Registrar of Companies before registration as stated to ensure Compliance of Petitioner's undertaking dated 21st July, 2018 as well as stamp duty as fixed by Inspector General of Registration and Commissioner of stamps. Registration of the scheme must be given effect after ensuring the compliance of the above by Registrar of Companies.

(h) The Petitioner will also ensure compliance of their undertaking dated 21st July, 2018 as also the Transferee Company has to pay differential fee and stamp duty on the increased Authorised Capital. Registrar of companies, Karnataka to ensure compliance of Petitioner Company's undertaking dated 21st July 2018 as also payment of differential fee and stamp duty.

(i) The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

(j) The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

(k) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

Sirisha